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‘Red Storm Ahead’: Securitisation of energy in US-China relations

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Abstract
Energy is becoming more and more important to state survival and economic development, and is increasingly considered an issue of ‘national security’. In 2005, China National Offshore Oil Corporation (CNOOC)’s bid for US energy company Unocal was securitised by US elite actors, who called for presidential action on the grounds of ‘national security’. This paper argues that securitisation of energy is problematic, as it impedes cooperation and encourages strategic and/or economic competition between states over energy supplies by tying energy to a national security ‘us vs them’ scenario. Moreover, it limits the energy security debate. This paper will use a securitisation approach to analyse the discourse of the Unocal Affair, together with a smaller complementary case study of US- China cooperation on shale gas to show the possibility of dealing with energy in desecuritised terms. It argues that the current literature on energy ‘security’ analyses policy in overly simplistic competition/cooperation terms and fails to recognise the policy implications of securitising energy. In contrast, a securitisation approach to energy can explain the (re)presentation of energy as a policy issue and allows an analysis of how using particular discourse makes particular policy possible, while silencing alternative policy options. This has implications for policy- making in this area as energy policy/practice should be desecuritised.

Keywords
Security, securitisation, energy, US, China

When, in 2005, China National Offshore Oil Corporation (CNOOC) made a bid to acquire US energy company Unocal, it resulted in widespread political opposition on grounds of ‘national security’, causing CNOOC to withdraw the bid. The incident offered, some said, ‘the first window into the global fear of resource scarcity and the new geopolitics of energy that will likely accompany it’[1]. The growing importance of energy to state survival and continued economic development has in practice put energy policy into the ‘high’ politics arena of national security[2], making the phrase ‘energy security’ commonplace. The prevailing understanding of energy security is inherently state-centric and linked to a national security paradigm[3], focusing on securing state energy supplies at stable prices. This understanding of energy both impedes cooperation and encourages strategic and/or economic competition between states over energy supplies by tying energy to a national security ‘us vs them’ scenario, as illustrated by the Unocal affair, which is here considered the first case of energy

[1] Michael Klare, *Rising Powers, Shrinking Planet* (Oxford: Oneworld, 2008), 6.
[2] Kenneth Lieberthal and Mikkal Herberg, 'China’s search for energy security', *NBR Analysis* 17, no. 1 (2006): 5-42, 13.
[3] Maria Julia Trombetta, 'Environmental security and climate change', *Cambridge Review of International Affairs* 21, no. 4 (2008) 585-602.

being successfully securitised in US-China relations[4]. Limiting security to national security in practice also limits the energy security debate, overlooking insecurities caused by state pursuit of secure energy supplies on the local and the international levels, including human and environmental security[5]. This paper suggests desecuritisation as a possible solution to this problem. Moving energy out of the 'high' politics of national security would both make cooperation more likely as energy 'security' would no longer be framed in us/them terms, and open up the debate on policy alternatives.

This paper uses US-China relations as an empirical case study to illustrate this argument. Not only are they the dominant powers in the current international system and the two largest consumers of energy globally, they are also key importers of energy[6]. Consequently, energy is particularly important in their respective foreign policies, and often causes tension in bilateral relations. This has made them the focus of much of the current academic literature on energy security, and a useful case study for this paper. Overall, both states view energy largely in national security terms, though full securitisation of energy has not been successful before 2005. While broadly equated with national security, full and successful securitisation requires both a particular rhetorical structure and a sense of urgency, combined with a suitable external and discursive context to ensure audience acceptance of the designation of the security threat[7]. While the relationship has seen many securitising moves before, full successful securitisation has not occurred in energy relations between the US and China before Unocal. As a result, this paper uses CNOOCs 2005 bid for Unocal as a case study to illustrate the problems of securitising energy in US-China relations, and to put forward an argument for desecuritising energy.

The paper begins with a selective review of the existing energy security literature focused on the relationship between the US and China, dividing it into two theoretical camps viewing energy security either in strategic or market terms. It then presents an ontological and normative critique of this literature, outlining how de/securitisation theory can make a significant contribution to the energy debate. The main body of the paper applies the theory empirically via the case study of the Unocal affair, setting out the political and academic context of what occurred and examining official and non-official documents relevant to the process of securitisation. It then considers the policy implications of securitisation in the Unocal affair. Lastly, it makes a case for desecuritising energy, illustrating this with several examples, including US-China cooperation on shale gas, showing the possibility of dealing with energy supply issues in bilateral relations outside of the 'security' realm.

[4] The conceptual framework of the analysis in this paper is rooted in securitisation theory, the central argument of which is that labelling something a 'security' issue impacts on policy and how that issue is dealt with. As such, the invocation of 'security' is a 'speech-act' (Ole Wæver, 'Securitization and de-securitization' in *On Security*, ed. Ronnie Lipschutz (New York: Columbia UP, 1995), 55) used to legitimate lifting an issue above normal politics into the sphere of security and extraordinary measures (Barry Buzan et al, *Security* (London: Lynne Rienner, 1998), 26).

[5] The emphasis on national security works to prioritise the energy supply needs of the state, which all too often leads to a heavy emphasis on fossil fuel production and consumption – particularly in the American case. Such energy consumption is a huge contributor to climate change, causing both human and environmental insecurity. Dannreuther goes as far as suggesting that energy security as currently understood is 'incompatible' with climate security (see footnote 10).

[6] Elizabeth Wishnick, 'Competition and cooperative practices in Sino-Japanese energy and environmental relations', *The Pacific Review* 22, no. 4 (2009): 401-428, 410.

[7] See Buzan et al., *Security.*

Limits of the current energy security literature and the relevance of securitisation

There are two dominant approaches in the current energy security literature; one analyses the causes of and solutions to energy (in)security issues from a strategic/realist perspective; the other adopts a liberal, market-based approach. Both discourses can be seen in academic and political circles in the US and China[8]. Overall, the conventional literature on energy security is 'state-centric' and 'supply-side biased... [equating] security with self-sufficiency'[9], making it limited in some important respects.

The competition, or strategic, approach to energy security views the 'international struggle for energy security as a zero-sum game'[10], emphasising competition, national security, state survival and conflict[1112]. This school sees energy security as 'inherently geopolitical'[13], and competition is seen as the natural result of scarce resources and increasing demand. Possibilities for energy cooperation are often explicitly dismissed as 'rather remote', as in Lee's observation that 'it is likely that oil wars…are in the pipeline'[14]. The cooperation, or market, approach emphasises integration, interdependence and liberalisation of the global energy market[15]. Here energy security is 'not a zero-sum effort'[16]. In China 'cooperation' is emphasised in academic discourse[17] and frequently cited as a key foreign policy goal[18]. Liberal views within the United States are neatly summarised in the statement of the Center for American Progress that: 'Collaboration - not confrontation - on energy...would not only benefit both countries, but also the rest of the world'[19]. Some authors have sought to synthesise the realist and liberal discourses in an attempt to provide a more nuanced analysis, and, like realist and liberal authors, provide some interesting and valuable empirical

[8]While energy remains considered a security issue, there are liberal and realist voices in both states. See for example: USCC 2008 'Annual Report 2008, Chapter 4' [online] http://www.uscc.gov/annual_report/2008/chapter4_section_1.pdf (8 January 2009); USCC 2009 Annual Report 2009 *US-China Economic and Security Review Commission* available at http://www.uscc.gov/annual_report/2009/09report_chapters.php (26 April 2010); Klare, *Rising Powers, Shrinking Planet*; Brent Boekestein and Jeffery Henderson, 'Thirsty Dragon, Hungry Eagle' *IPEG Papers in Global Political Economy* 21(November) (2005); FMPRC 2003 China's Independent Foreign Policy of Peace, published by the *Ministry of Foreign Affairs of the PRC*, available at http://www.fmprc.gov.cn/eng/wjdt/wjzc/t24881.htm (26 April 2010); Xu Yi-Chong, 'China's energy security', *Australian Journal of International Affairs* 60, no. 2 (2006): 265-286.

[9] Erica Downs, 'The Chinese Energy Security Debate', *The China Quarterly*, March (2004): 21-41, 23.

[10] Roland Dannreuther, 'Energy Security' in *The Routledge Handbook of New Security Studies,* ed. Peter Burgess (Abingdon: Routledge, 2010), 144-153, 145.

[11] See Klare, *Rising Powers* 30. See also Boekestein and Henderson, 'Thirsty Dragon, Hungry Eagle', 6; Robert A. Manning, *The Asian Energy Factor (*New York: Palgrave, 2000).

[12] Wälde points to restrictive trends in energy investment protection and 'politicization of investment disputes'. While home states of investors are unlikely to resort to actual intervention, military or political, the Unocal case is an interesting exception to this, with clear Chinese political intervention. See Thomas Wälde, 'Renegotiating acquired rights in the oil and gas industries', *The Journal of World Energy Law & Business* 1, no.1 (2008): 55-97, 83.

[13] Iftikhar Lodhi, 'Energy Security and Geopolitics in South Asia' in *The Geopolitics of Energy in South Asia*, ed. Marie Lall (ISEAS series on energy. Institute of Southeast Asian Studies: Singapore, 2009), 96.

[14] Pak Lee, 'China's quest for oil security', *The Pacific Review* 18 no. 2 (2005), 289.

[15] Andrews-Speed, *Energy Policy and Regulation in the People's Republic of China* (The Hague, London, New York: Kluwer Law International, 2004): 340; also Dannreuther, 'Energy Security', 145.

[16] John Gault, 'Energy Security, Globalization and Global Security', *GCSP Policy Brief No. 8.* (2006), 8.

[17] Xu, 'China's energy security', 267; Joseph Cheng, 'A Chinese View of China's Energy Security', *Journal of Contemporary China* 17, no. 55 (2008): 297-317; Jiang Wenran, 'China's economic growth and its global quest for energy security' in *China, India and the United States: Competition for Energy Resources* (Emirates Center for Strategic Studies and Research: Abu Dhabi, 2008).

[18] FMPRC, 'China's Independent Foreign Policy of Peace'.

[19] Unruh Ana Cohen, 'China's Energy Strategy' *(Center for American Progress, July 2005)* available at http://www.americanprogress.org/issues/2005/07/b897843.html (15 April 2010).

insights[20]. Nevertheless, the language used by these scholars continues to fall back on a binary understanding of energy security as defined by either national cooperation or competition, retaining a state-centric understanding of security and taking scant interest in the role discourse itself plays in making particular policy possible.

This debate over national competition versus cooperation, which dominates the literature, provides too narrow an analytical basis for understanding this important issue fully. The critique presented here is twofold, ontological and normative. Firstly, I posit that energy security is constituted and contingent, rather than an objectively identifiable goal[21]. In the existing literature, 'threats' to energy security are defined in a way that implies objectivity in the designation, with negligible analysis given over to the process by which threats are socially constructed[22], and particular policy courses are made possible by means of the legitimacy created through the use of securititised discourse. Both competition and cooperation, whether economic or strategic, are presented as 'natural'[23], thus excluding from the outset any genuine possibility of change. This paper argues that, on the contrary, such static conception of our social environment is problematic, and to the extent that it provides an accurate account of behaviour, this is less the result of its accurate representation of natural order than it is the triumph of self-fulfilling prophecy[24]. This leads onto the normative critique. Both sides of the debate implicitly present a conventional view of security whereby something is a security issue because it threatens the economic or political survival of the state. However, while energy 'security' may be a threat to the wellbeing of the state, actions which flow from the state's pursuit of its energy security can themselves present serious threats both to human security and the survival of the ecosystem. The presently prevailing definition of energy security is fundamentally incompatible with climate security[25], and thus the argument presented here is that that definition needs to be re-examined. Moreover, limiting the conception of security to national security perpetuates an 'us'/'them' understanding of security, in practice encouraging competition over energy in strategic and/or economic terms.

This paper broadly follows a critical geopolitical approach, problematising 'invocations of dangers in political discourse'[26], on the basis of the conviction that (in)security and threats are 'discursive constructions rather than natural facts'[27]. Analysing energy security using securitisation theory helps highlight this, and allows this paper to address the ontological and normative critiques presented in the previous section. Securitisation is the discursive process by which 'an issue is dramatized and presented as an issue of supreme priority; thus…an agent claims a need for and a right to treat it by extraordinary means'[28]. It requires 'a *process*

[20] See Downs, 'The Chinese Energy Security Debate'; Andrews-Speed, *Energy Policy*; Amy Jaffe and S. W. Lewis, 'Beijing's oil diplomacy', *Survival* 44, no. 1 (2002): 115-134; Zha Daojiong, 'China's energy security' *Survival* 48 no.1 (2006): 179-190; Øystein Tunsjø, 'Hedging Against Oil Dependency', *International Relations* 24 no. 1 (2010)**:** 25-46, among others.
[21] See Felix Ciuta, 'Conceptual notes on energy security', *Security Dialogue* 41 No.2 (2010), and Shane Mulligan 'Energy, environment, and security: critical links in a post-peak world' *Global Environmental Politics* 10 no.4 (2010): 79-100.
[22] See for example Andrews-Speed, *Energy Policy,* 337-339.
[23] Xu, 'China's energy security', 266.
[24] Colin Hay, *Political Analysis* (London: Palgrave Macmillan, 2002), 237.
[25] Dannreuther, 'Energy Security'.
[26] Simon Dalby, 'Critical geopolitics and security' in *The Routledge Handbook of New Security Studies* ed. Peter Burgess (Abingdon: Routledge), 50-58, 53.
[27] Laura Shepherd and Jutta Weldes, 'Security: The state (of) being free from danger?', in *Globalization and Environmental Challenges,* eds. Hans Günter Brauch et al (Berlin Springer, 2008), 529-536, 532.
[28] Barry Buzan et al, *Security*, 26.

of articulations', known as security 'speech-acts'[29]. It is distinguished by a particular rhetorical structure, emphasising survival, urgency and 'priority of action'[30]. The reverse process is desecuritisation. Because of the connotations and history of 'security' securitising an issue inevitably 'evokes an image of threat-defense, allocating to the state an important role in addressing it'[31]. Securitisation theory has been applied to a wide range of topics, though there has been a lack of empirical securitisation analyses of energy[32]. This may be partly because of the difficulty in applying securitisation theory to a field which has gradually become considered an accepted part of the security agenda in both the US and China[33], with rising importance to state survival. For example, the US has had an international energy advisor on the National Security Council since 2003. This is why the Unocal affair makes a particularly good case study, as it allows a clear empirical analysis of a successful securitisation, with policy implications in both the US and China. While there has been much conceptual revisionism of securitisation theory, this cannot be dealt with in detail here[34]. However, it is worth noting the importance of the external context and the role of the audience as key factors for securitisation to be successful[35], which is of particular relevance to the case of energy because of the looming reality of 'peak oil' and gradual inclusion of energy in the security agenda.

While securitisation theory allows this paper to address the ontological critique of the existing literature to show that energy security is constituted and contingent, the normative silence in securitisation is often criticised. This is partly due to the underdeveloped nature of desecuritisation[36] by the original authors, who left the normative choice between securitisation and desecuritisation to the researcher to determine according to context; allowing this paper to address the normative critique of the existing energy security literature by suggesting desecuritisation as a possibility for change. Viewing security as discourse, a state labelling something a threat to security 'enables certain political processes and policies'[37]. Policy (in)security discourses are closely tied to conventional understandings of security; 'these links serve to prescribe certain policy responses and proscribe others'[38]. In US-China relations, the securitisation of energy reinforces state-centric understandings of security in problematic ways. It reproduces the dominant discourse, focused on rival logics of

[29] Ibid., 377.
[30] Ibid., 26.
[31] Wæver, 'Securitization and de-securitization', 47.
[32] Securitisation theory has only been applied to energy in a few cases which largely focus on the EU, see Radoman, 'Securitization of Energy', *Western Balkans Security Observer* 4 (2007): 36-44; Belyi, 'New dimensions of energy security of the enlarging EU', *Journal of European Integration* 25 no. 4 (2003): 351 — 369; Edward Stoddard, 'A common vision of energy risk? Energy securitisation and company perceptions of risk in the EU' *Journal of Contemporary European Research* 8 no. 3 (2012): 340-366; Michal Natorski and Anna Herranz Surrallés, 'Securitizing Moves To Nowhere? The Framing of the European Union's Energy Policy', *Journal of Contemporary European Research* 4 no. 2 (2008): 70-89. It has largely been neglected in US-China energy relations, with the exception of Jonna Nyman, 'Securitization Theory' in *Critical Approaches to Security* ed. Laura Shepherd (Routledge: London and New York, 2013).
[33] Lieberthal and Herberg, 'China's search for energy security'.
[34] For example, see Matt McDonald, 'Securitization and the Construction of Security', *European Journal of International Relations* 14 no.4 (2008); Lene Hansen, 'The Little Mermaid's Silent Security Dilemma', *Millennium* 29 no. 2 (2000): 285-306; Michael C. Williams, 'Words, Images, Enemies', *International Studies Quarterly* 47 no. 4(2003): 511-31; Thierry Balzacq, 'The Three Faces of Securitization', *European Journal of International Relations* 11 no. 2 (2005): 171-201, 182.
[35] Balzacq, 'The Three Faces of Securitization', 182.
[36] See Cynthia Aradau, 'Security and the democratic scene', *Journal of International Relations and Development* 7 no. 4 (2004): 388-413, 389.
[37] Shepherd and Weldes, 'Security', 534.
[38] Shepherd and Weldes, 'Security', 536.

state competition and state cooperation, and reinforces the present tendency towards national security-focused behaviour. If discourse could be shifted in such a way as to return the issue to 'the normal bargaining processes of the political sphere'[39] it could be dealt with much more constructively, and space be opened for reflection upon the impact of the current 'national security' discourse on environmental and individual security. Problematically, there is a lack of research on desecuritisation in practice, and while advocating desecuritisation of energy, the substantive focus here is on demonstrating the problems of securitising energy; a thorough examination of how desecuritisation of energy might occur in practice is left for future research. However, using the lens of desecuritisation this paper can put forward a possible solution to the normative critique identified with the energy security literature, presenting a possibility for change by desecuritising the policy discourse surrounding energy, in order to better deal with energy concerns beyond the state, and their impact on individuals and the environment[40].

It is important to briefly clarify the differences between desecuritisation and the traditional liberal approach. While the goals of the traditional liberal approach and desecuritisation as used in this paper are similar, as they both aim for improved cooperation on energy, they differ both in their positions on how to achieve those goals, and in their underlying conception of threat and security. The liberal energy security discourse present in policy circles derives from a particular branch of liberal discourse which encourages cooperation, but retains a state-centric understanding of security, focusing on cooperation as a means to national economic gain, encouraging economic competition between states over energy resources while ignoring the impact this has on individuals and the environment. This discourse is clearly visible in China's response to US securitisation. Meanwhile, as stated in the ontological critique presented earlier, like the realist approach the liberal discourse on energy security fails to recognise the constituted nature of energy security, and the role of discourse and action in both making particular policy possible and as an avenue for change. Thus while both approaches advocate cooperation, the liberal literature does not provide any real suggestions for getting there in practice, beyond suggesting the US and China cooperate on energy security. Desecuritisation would involve moving energy out of the security sphere[41], away from a state-centric national security us/them paradigm, to make cooperation more likely. It is in this way that desecuritisation allows this approach to move beyond traditional energy security discourses[42].

The framework of (de)securitisation has distinct advantages for the study of energy, showing how using a particular discourse of 'energy security' makes very particular policy possible, highlighting the problems with securitising energy and providing an alternative. Consequently it serves as the primary theoretical lens through which to examine the case study which follows.

The Unocal Affair

This section will use the case of the Unocal affair in 2005 to show the effects of securitisation of energy on US-China relations and the policy implications. Briefly, what is here referred to

[39] Buzan et al., *Security*, 4.

[40] In practical terms, desecuritisation of energy would mean allowing energy supply to be dealt with by economic and environmental government departments, rather than security specialists trained to think in threat-defense terms.

[41] See Lene Hansen, 'Reconstructing desecuritisation', *Review of International Studies* 38 no. 3 (2012): 525-546.

[42] I am indebted to the anonymous reviewers for suggesting this clarification.

as the 'Unocal affair' occurred in 2005 when CNOOC, a partially state-owned Chinese energy company, put in a bid for US energy company Unocal, resulting in protests from Congress calling it a 'national security' issue. As a result, CNOOC eventually withdrew the bid, citing political opposition in the US. This case shows a gradual process of repeated securitisation in US discourse, with official Chinese discourse attempting to reframe the debate in liberal/market terms. This analysis shows how repeated securitisation by elite US actors turned what was originally a trade matter into an energy security crisis. Showing the discourse of security and threat construction in energy policy and its impact on US-China relations and policy, this case will be used to show how and why viewing energy as a security issue can have a serious negative impact on energy policy.

This paper analyses the discourse in documents produced by both sides[43], focusing on the US as the primary site of securitisation. It has used selective sampling to analyse key official documents and newspaper articles, primarily from June-July 2005. The analysis looks at the rhetorical structure of securitisation, to show how what could be regarded as a purely commercial exchange was dramatised and labelled a security issue. It also analyses the presentation of agency in the discourse presented, and the construction of China as that which is 'Other' to the US to produce the idea of the 'China threat'. The role of the securitiser is emphasised, in particular the added legitimacy of elite actors in securitisation. The analysis also uses relevant media statements on the case study to show the interplay of official and non-official discourses to complement the analysis of securitisation to reflect this. It begins by discussing the wider context of US-China relations and the Unocal affair to show how this facilitated securitisation, before discussing existing academic analyses of the situation. It then looks directly at the discourse of the Unocal affair, analysing key documents and briefly illustrating Chinese attempts to induce cooperation by reframing the debate in liberal/market terms. Lastly, it looks at the policy implications and the effect on US-China relations.

Political and academic background: the discursive context

US-China relations have become increasingly complicated in the last twenty years with the economic rise of China, and energy relations between the US and China need to be understood in a wider discursive context of geopolitical rivalry and economic interdependence.

While the US and China are economically integrated and cooperate in international organisations and through a number of bilateral initiatives and dialogues, relations between the two states are coloured by Chinese mistrust of 'the West' and US construction of China as a threat. Beeson argues there are clear similarities between Chinese and American strategic thinking, pointing to realist, zero-sum tendencies in both states towards each other[44]. The US-China Economic and Security Review Commission shows US official discourse constructing China as a threat to US interests: 'China will seek to displace the world's leading powers, namely the United States'[45]. Similarly, 'Chinese internal documents commonly refer to suspicions that the United States seeks to 'split (*fenhua*) and Westernize (*xihua*)' China'[46], and Zhang points to 'China's enthusiastic embrace of the

[43] The analysis of Chinese documents largely uses official translations made available by the Ministry of Foreign Affairs and the Ministry of Commerce to avoid adding a further layer of interpretation, with the exception of a document produced by the Chinese energy bureau (see footnote 89) for which no official translation was available – this was translated by the author.

[44] Mark Beeson, 'Hegemonic transition in East Asia? *Review of International Studies* 35 (2008): 95–112, 102.

[45] USCC, 'Annual Report 2008', 232.

[46] Fred Bergsten et al., *The Balance Sheet: China* (Public Affairs: New York, 2006), 124.

"national interest" as central in governing its foreign and security policy-making'[47]. These are not the only discourses present, as noted before liberal voices are also present in policy circles in both states, including attempts to shift away from the 'China threat' discourse in the US, but overall they remain an important influence on bilateral relations.

US-China relations are often tense and realist norms and discourses in both states often emphasise worst-case scenarios which has led to 'US unilateralism, hectoring and demands coupled with Chinese nationalism and exclusion from a major role from the international financial institutions'[48]. Both states have clear competing discourses more broadly as well as in the case of the Unocal affair, emphasising economic interdependence, reliance on markets and cooperation. Cooperation and dialogue between the two has been notable during the global economic crisis; still, 'hard-liners in both capitals seek to reduce US-China interdependence, seeing such interdependence as an intolerable vulnerability'[49]. Overall the relationship between the US and China is one of complex interdependence, which, like energy relations more broadly, tends to be discursively cast in competition/cooperation terms.

Chinese energy policy in particular is often constructed as a threat in US discourse. Because continuing economic growth is necessary for the Chinese Communist Party's political legitimacy, continued energy security is essential[50] and China's energy policy is 'already a source of tension in bilateral relations'[51]. The Chinese leadership has clear concerns about energy security which the state-owned oil companies have used to their advantage in harnessing state support for upstream investment policies, commercial diplomacy and going-out deals. The Chinese government have considered energy a security issue for some time, with the military discussing energy supply and security in military terms as early as 2002[52]. However, there is also a clear competing, liberal discourse in China, emphasising market mechanisms, interdependence, cooperation, diversification of energy supplies and sources as strategies to enhance China's energy security.

Moving onto the Unocal affair more specifically, Jiang provides an excellent overview of the political context, pointing to the 'sensitive' nature of US-China relations at the time of the CNOOC bid. It came at a time of US focus on China's rapid military modernisation and increasing US pressure on China to revalue its currency in the light of increasing US trade deficit[53]. This was accompanied by the US imposition of duties '…on a range of Chinese textile products':

> No wonder when CNOOC, 71 percent controlled by the Chinese government, made a 'friendly merger' offer to the 9th ranking U.S. energy firm Unocal, American politicians and the public in general reacted as if a 'red storm' was coming to the U.S. shores[54]

[47] Zhang Yongjin, 'Discourses of security in China' in *Critical Security in the Asia-Pacific*, eds., Burke and McDonald (Manchester: MUP, 2007): 167-182, 169.
[48] Paul Bowles and Baotai Wang, 'The rocky road ahead', *Review of International Political Economy* 15 no. 3 (2008): 335-353, 352.
[49] Lieberthal and Herberg, 'China's search for energy security', 27.
[50] Boekestein and Henderson, 'Thirsty Dragon, Hungry Eagle', 21.
[51] Leverett and Bader, 'Managing China-US energy competition', 10.
[52] See also Zweig and Bi, 'China's global hunt for energy', *Foreign Affairs* Sept/Oct (2005).
[53] Jiang Wenran, 'The UNOCAL Bid: China's Treasure Hunt of the Century' *China Brief* 5 no. 16 (2005): 1-3, 1.
[54] Ibid., 1.

The reality of the political and discursive context of US-China relations in June-July 2005 acted to facilitate and even encourage securitisation in the US.

The few academic studies conducted of the Unocal affair all come from a conventional energy security perspective, and tend to emphasise the 'natural', 'inevitable' nature of what evolved. It was said to show the US and China as intently focused 'on their national energy security' and a tendency 'to assume the worst of the other's intentions'[55]. Jiang's case study of the Unocal affair presents it as a 'reflection of Beijing's growing energy insecurity syndrome'[56]. US politicians and political discourses emphasised the threat, and media referred to the 'red storm' ahead[57]. In contrast, Chinese media 'questioned the way in which US politicians measured China's threat to their national security', in particular as Unocal 'accounted for less than 1 percent of the total US energy supply'[58]. Many saw the Congressional intervention as US containment of China's rise[59], viewing the failed bid as 'representing an America that bends over backwards to deny Chinese access to energy resources'[60].

In practice, there was a duality of discourse in both states, with voices speaking out for and against securitisation. Overall, US official discourse tended more towards a strategic approach, and Chinese discourse more towards a market approach, keeping the sale of Unocal off the security agenda by emphasising it as a 'corporate commercial offer'[61]. The focus here is on the US discourse as the site of securitisation, but Chinese attempts to reframe the debate in market terms will also be discussed. However, it is important to briefly recognise the competing discourses, found in both states, though more visible in the US due to the practice of censorship in China. There were voices in the US arguing the sale of Unocal was not a national security issue[62]. It is also visible in some media articles and the testimony of Jerry Taylor submitted to the House Armed Services Committee on Unocal, which clearly stated that US fears were 'ill founded'[63]. Likewise in China, particularly in new media like blogs and online forums, securitised discourse could be found.

The discourse of the Unocal Affair

Securitisation primarily took place in the US, as has been outlined. This was lead by some key figures and committees: two Congressmen, Richard Pombo and Duncan Hunter, the US-China Security and Economic Review Commission (USCC), and the House Armed Services Committee. As elite actors they were in a prime position to securitise the Unocal affair. Overall the discourse emphasised the difference between US and Chinese oil strategies:

> Whereas the United States has shifted from an oil import strategy that was based on controlling the oil at the wellhead to one that is based upon global market supply and pricing, China focuses on owning

[55] Lieberthal and Herberg, 'China's search for energy security', 8.
[56] Jiang, 'China's economic growth', 304.
[57] Lou Dobbs, 'Red Storm Ahead', *CNN*, (15 July 2005) available at http://edition.cnn.com/2005/US/07/15/unocal.china/index.html (14 May 2010).
[58] Jiang, 'China's economic growth', 307.
[59] Cheng, 'A Chinese view', 1.
[60] Zha, 'China's energy security', 184.
[61] FMPRC 2005, 'Foreign Ministry Spokesman Liu's Press Conference on 30 June 2005' available at http://www.fmprc.gov.cn/eng/xwfw/s2510/t201934.htm (19 May 2010).
[62] Congressional Records, Records from 30 June 2005, Congressional records page H5576, available at http://frwebgate.access.gpo.gov/cgi-bin/getpage.cgi (13 May 2010).
[63] Jerry Taylor, Written Testimony Submitted to the *House Armed Services Committee* Hearing July 13 2005 on National Security Implications of the possible merger of CNOOC with Unocal Corporation. Available at http://armedservices.house.gov/comdocs/schedules/Taylor7-13-05.pdf (13 May 2010), 2.

> oil at the point of production. These different energy policies could bring both countries' energy interests into conflict[64]

This also sets up the US and China in opposition, using binary liberal/realist energy security discourse. The US is defined as taking a liberal, market approach, and China as the opposite.

The initial securitising move was made by Congressmen Hunter and Pombo, who sent a letter to the White House on June 17 2005 urging President Bush to consider the national security implications of the CNOOC bid. The letter was widely reported in the media[65], and the letter itself stated that:

> …such an acquisition raises many concerns about U.S. jobs, energy production and energy security…We fear that American companies will find it increasingly difficult to compete against China's state-owned and/or controlled energy companies[66]

It also added:

> We believe that it is critical to understand the implications for American interests and most especially, the threat posed by China's governmental pursuit of world energy resources. The United States increasingly needs to view meeting its energy requirements within the context of our foreign policy, national security and economic security agenda. This is especially the case with China[67]

The discourse in this letter clearly shows the beginning of the rhetoric of securitisation which later became even more explicit, and it goes on to emphasise the threat more directly. Words like 'critical' are used to emphasise the priority and need for urgency, while the emphasis on Chinese government involvement in the energy sector is used to highlight the threat. The focus on 'American interests' suggests a realist conception of the international system, where the 'China threat' has 'implications for American interests'. The penultimate sentence makes clear the need to securitise energy, and highlights the need to go beyond the established rules of the game, in this case by placing energy in the context of national security. Likewise, the singling out of China emphasised by the word 'especially' in the last sentence sets China up as a particular threat. China's energy policy, while deemed 'understandable', is also referred to as 'aggressive' in the letter.

The coming entrenchment of securitisation can be seen in House of Representatives Resolution 344 (H.Res.344), and the debates preceding it on 30 June 2005. The debates show statements like 'national security has to include economic security'; 'a Chinese government acquisition of a critical United States energy company could impair our national security'. Unocal's importance is clearly exaggerated here, its worldwide operations provide 0.2 percent of global oil production[68] and it is not near the top of the list of key US suppliers[69].

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[64] USCC, 'Annual Report 2005' *US-China Economic and Security Review Commission*, Section 4. Available at http://www.uscc.gov/annual_report/2005/chapter4_sec4.pdf (26 April 2010), 168.
[65] See New York Times, 'Unocal Deal: A Lot More Than Money Is at Issue' 24 June 2005, available at http://www.nytimes.com/2005/06/24/business/worldbusiness/24china.html?pagewanted=2&sq=hunter%20pombo&st=nyt&scp=3 (13 May 2010); and New York Times 2005, 'Chinese Oil Giant in Takeover Bid for U.S. Corporation', 23 June 2005, available at http://www.nytimes.com/2005/06/23/business/worldbusiness/23unocal.html?_r=1&scp=3&sq=hunter%20pombo&st=cse (13 May 2010).
[66] Duncan Hunter and Richard Pombo, Letter to George W. Bush July 2005, obtained from the office of Duncan Hunter.
[67] Ibid.
[68] Taylor, 'Written testimony', 3.

The use of the inclusive '*our*' national security shows an attempt to show how the nature of the threat is such that it will affect everyone, to justify going beyond normal established rules. Ultimately, '[t]his acquisition could mean less energy for the United States'[70]. This clearly shows a zero-sum attitude to energy. The repetition of 'security' and 'national security' in these debates work as security speech-acts, by more than one actor, and are reproductive of a particular conception of sovereignty and security. While these securitising speech-acts are intermingled with a few statements to the opposite effect, largely emphasising free trade, these voices are silenced in the resulting resolution in favour of the national security discourse, when H.Res.344 passed by 398 to 15 on 30 June 2005.

H.Res.344 was a non-binding resolution[71], calling for a presidential review of the bid on the basis of 'national security'. Overall the tone is declarative, declaring statements as true and not subject to questioning. It presents a particular view of reality as black and white; this *is* a threat to national security and must be dealt with. Securitisation is clearly intentional, and the position of the securitising agent(s), the House of Representatives, is privileged as an elite agent likely to be considered legitimate by the population. The discourse is securitised, emphasising urgency, threat and priority. Its definitive nature and declarative tone allows no discursive room for arguments to the contrary. In the resolution itself, all objections are silenced.

The discursive construction of agency is particularly interesting in H.Res.344. It starts by emphasising the 'threat', to maximise audience acceptance. The emphasis here is on growing 'global demand for oil and natural gas', but the presentation of the global situation lacks mention of agents, leaving the causality of this growing energy consumption unclear. It then moves on to outline China's growing energy consumption, highlighting China's role as an agent and consumer. While CNOOC is then presented as having some form of independent agency when it 'announced its intent to acquire Unocal Corporation', this is immediately revoked in favour of presenting China as the 'real' agent: 'the People's Republic of China owns approximately 70 percent of CNOOC'. Increasingly the emphasis is on the 'Chinese government', until it moves to conflate CNOOC with the Chinese government; 'a Chinese Government acquisition of Unocal Corporation'. This is accompanied by the presentation of the US as lacking the ability to act as an agent if the merger takes place; 'barriers to the ability of the United States Government to enforce export controls and sanctions'. It ends by urging the President to take action, emphasising the exceptional nature of the circumstances.

In its construction of agency H. Res. 344 reinforces the idea of 'them and us', constructing China as the 'Other', using phrases like 'the People's Republic of China remains strongly committed to national one-party rule by the Communist Party', setting up China as the opposite of the US, and as the real cause of the threat. Euphemisms are also used to intensify the sense of threat posed by China, most notably the repeated use of the words 'dual-use'. This starts with 'technologies that have 'dual-use' commercial and military applications', later adding that if the sale takes place, CNOOC, which has already been equated with China, will have access to 'sensitive dual-use technologies that the United States would otherwise restrict for export to China'. Using the euphemism 'dual-use' allows this threat to be

[69] This goes to re-emphasise the point that what is at stake here is not actual US energy supplies, but the construction of energy security as a national security issue to enable particular policy choices.
[70] All from Congressional records, H5576.
[71] For full text see House of Representatives, H.Res. 344, June 30 2005, available at http://frwebgate.access.gpo.gov/cgibin/getdoc.cgi?dbname=109_cong_bills&docid=f:hr344eh.txt.pdf (13 July 2010).

presented without giving more details. As a result, the claim cannot be scrutinised, while the elite status of the securitising actors would provide enough legitimacy to lead most of the audience to accept the claim anyway. The repetition of 'dual-use' in connection with the word 'military' suggests the threat is important, but too important – or 'sensitive' – to give more details. The conclusion of most audience members would likely be: China cannot be trusted with this technology.

Securitising discourse can be seen throughout, in particular in the constant reiteration of the words 'national security'. The opening sentence sets up the imperative for securitising CNOOC's bid; 'oil and natural gas resources are strategic assets critical to national security and the Nation's economic prosperity'. It openly appeals to a very traditional definition of security, 'national' and 'Nation' emphasising the role of the state. 'Strategic assets' has clear military connotations, reinforcing this traditional conception of security. 'Critical' emphasises both the urgency and priority required to justify securitisation. The threat to survival is returned to at the end, where it is declared that if this deal goes forward, it could 'pose a direct threat to the national security of the United States', which is followed by a call for the President to review the deal, going beyond established rules and lifting it above normal politics.

Moving now to the House Armed Services Committee hearing on 'the national security implications' of the CNOOC bid. This analysis focuses on the statement given by Richard D'Amato, Chairman of the USCC[72], as the key statement later repeated in the media, though the others will also be discussed in the following section on securitising media representations of the Unocal affair. The securitising effect of the hearing is intensified by the title of the hearing itself, which does not ask *if* there are national security implications, but rather takes this as undisputable fact. D'Amato's statement uses persuasive language to convince the audience that securitisation is necessary. His statement warns the committee of the possible implications, acting as a speech-act, and stresses the need to take action. He argues that the US should treat the possible acquisition as 'a non-commercial transaction with other motives and purposes'. The euphemistic use of the negative term 'non-commercial transaction' highlights the exceptionality of the case; it is *not* a regular commercial transaction. This sentence is linked to national security in the sentence that follows directly after, 'if it affects the national security of the United States, intervention by the US government must be seriously considered', endorsing emergency measures. It uses similar euphemistic expressions to H.Res.344, stating that Unocal may possess 'certain technologies...that have national security implications and should not be transferred to China'. D'Amato does, however, recognise that the USCC 'has not conducted an inquiry on this matter', making it an even more dubious claim. Securitising discourse continues throughout the statement, emphasising the exceptional nature of the threat. There is also clear preoccupation with the role of CNOOC's state-ownership as evidenced by extensive over-wording used to illustrate this, highlighting it in five separate points. Like in H.Res.344 the Chinese government is seen as the key agent, not CNOOC.

D'Amato's statement sets the US and China up as binary, constructing China as a threat throughout. China has non-commercial 'motives and purposes' and is 'not a market economy'. Meanwhile, Unocal is described as 'an American company with American standards', and US policy as 'open markets, to promote energy security for everyone', as

[72] Richard D'Amato, 'National Security Dimensions of the Possible Acquisition of Unocal' Statement of the Chairman, USCC, before the House Committee on Armed Services, July 13 (2005) Available at http://www.uscc.gov/testimonies_speeches/testimonies/2005/05_07_13_testi_damato.php (14 May 2010).

opposed to China. The following simile exemplifies the binary construction of China: 'the Chinese treat energy reserves as assets in the same way a 19th century mercantilist nation-state would'. D'Amato continually uses the phrase 'the Chinese', constructing them as the 'Other' and distancing the speaker/writer and listener/reader. This 'them and us' attitude continues throughout, and in 'the taking of an important US energy company by a foreign government' the word 'foreign' enhances the construction of 'the Chinese' as Other. Likewise, the use of the word 'taking' has strategic connotations and glosses over the fact that CNOOC has plainly put forward the highest bid in a commercial transaction. China is said to take a 'hoarding approach' to energy which 'conflicts with the efforts of the US and other countries in the International Energy Agency to develop fungible, transparent and efficient oil and gas markets', Here the US is linked to other, positively defined countries, and legitimate organisations like the IEA, while China is in the following section linked to 'anti-American' states with unethical practices including Iran, Sudan ('genocidal practices'), and Venezuela[73].

US media representations of the Unocal affair also repeatedly securitised the CNOOC bid. This continual repetition and reiteration of the 'national security' dimensions of the CNOOC bid in both official discourses and the media gradually produced enough momentum for successful securitisation to be possible. The New York Times published a number of articles referring to the 'national security' aspects of the Unocal bid[74]. In one of these, James Woolsey, a former director of the Central Intelligence Agency (CIA), described CNOOC as the corporate vehicle of 'a Communist dictatorship', adding that 'China is pursuing a national strategy of domination of the energy markets'[75]. The same article stated that 'three of the four witnesses at the hearing [of the House Armed Services Committee] made the argument that Cnooc's [sic] attempt to buy Unocal...should be regarded as a matter of national security'. CNN ran a story entitled 'Red Storm ahead' on July 15 thanking the Armed Services committee for putting 'U.S. national security ahead of so-called free trade and laissez-faire politics'[76]. It added that

> …we must always intensely question and analyze the promises of a company that's 70-percent-owned by a Communist government. And the Chinese state's mission is clear…It seeks to control the world's natural resources...and rapidly build its military power to rival that of the United States.[77]

During the Unocal affair, with its repeated elite securitised discourse, one poll showed that '73 percent of US nationals disliked the potential deal'[78], suggesting audience acceptance of the securitising discourse. The official discourse served to delimit the discourse possible, and 'information that would have been relevant to a balanced assessment has been conveniently omitted, while other facts have been purposely distorted [sic]'[79].

In contrast, Chinese official discourse attempted to reframe the discourse in economic/market terms. While some of this discourse appears to be desecuritising, it remains rooted in the

[73] Ibid.
[74] See New York Times, 'Unocal Deal'; New York Times, 'Chinese Oil Giant in Takeover Bid for U.S. Corporation'; New York Times, 'Unocal bid denounced at hearing' 14 July 2005, at http://www.nytimes.com/2005/07/14/business/worldbusiness/14unocal.html?_r=1 (14 May 2010).
[75] New York Times, 'Unocal bid denounced at hearing'.
[76] Dobbs 'Red Storm Ahead'.
[77] Ibid.
[78] Jiang, 'China's economic growth', 306.
[79] Francis Schortegen, 'Protectionist capitalists vs. capitalist communists', *Asia Pacific: Perspectives* 6 no. 2 (2006): 2-10, 6.

liberal energy security discourse, with a state-centric, 'objective' understanding of energy security[80]. There is no attempt to move away from viewing energy in national security terms, just to present this particular deal as less threatening. The discourse aimed to allow the deal to go ahead, reducing US political opposition. Various statements from the Chinese Ministry of Commerce (MOFCOM)[81] and Ministry of Foreign Affairs (FMPRC) illustrate this. FMPRC released a statement July 2005 stating that '(w)e demand that the U.S. Congress correct its mistaken ways of politicizing economic and trade issues and stop interfering in the normal commercial exchanges between enterprises of the two countries'[82]. Here the adherence to the liberal, state-centric understanding of energy security is clear. This can also be seen in Chinese media, which reproduced interviews with CNOOC's Chairman Fu Chengyu, stating that '(w)e don't believe the deal will hurt the national security of the United States'[83]. Similar discourse can be found in all the major Chinese newspapers, though all subject to some degree of state censorship. The final attempt was an article by Fu Chengyu which was originally published in The Wall Street Journal on July 6, 2005 and later reproduced by the China Daily. The article was called 'Why is America worried?' and made a series of commitments including keeping US oil in the US and retaining Unocal's US jobs[84]. However, attempts to reframe the debate in liberal/market terms failed to make the deal less threatening and induce cooperation, and on 2 August 2005, CNOOC announced the withdrawal of their bid for Unocal in a press release, citing 'the political environment in the US' as the key reason[85]. In a sense this failure of Chinese attempts to make cooperation possible by reframing the debate in liberal/market terms could be seen as showing the limits of the liberal cooperation discourse. Without genuinely desecuritising energy, cooperation will remain difficult to achieve in practice.

Policy implications?

Securitisation of the Unocal affair not only made cooperation between China and the US in the case unlikely, if not impossible, but also had long term impact on US-China energy relations. Firstly, on 29 July 2005 the Senate and House both adopted the Pombo amendment to the Energy Policy Act 2005, placing restrictions on sales, requiring a national security review of international energy requirements. It extended the time period for national security reviews in cases of 'investment in the energy assets of a United States domestic corporation by an entity owned or controlled by the government of the People's Republic of China'[86] to allow both Congress and the President to review reports. Likewise, China's National Energy Bureau published a document entitled 'China-US Energy Cooperation: Challenges and Opportunities' in December 2005, which refers directly to the Unocal affair and reflects on the future of US-China energy relations. It states clearly that energy is increasingly becoming

[80] Thanks to anonymous reviewers for helpful comments on this.
[81] MOFCOM, 'FM: CNOOC's Unocal bid is pure business' June (2005) at http://english.mofcom.gov.cn/aarticle/counselorsreport/americaandoceanreport/200506/20050600139703.html (18 May 2010).
[82] Washington Post, 'China Tells Congress To Back Off Businesses', July 5 (2005) at http://www.washingtonpost.com/wpdyn/content/article/2005/07/04/AR2005070400551.html (19 May 2010).
[83] China Daily, 'CNOOC launches bid for Unocal take-over', 24 June 2005, available at http://www.chinadaily.com.cn/english/doc/2005-06/24/content_454231.htm (19 May 2010).
[84] Fu Chengyu, 'Why is America Worried?', *The Wall Street Journal*, July 6 (2005) also available at http://www.chinadaily.com.cn/english/doc/2005-07/06/content_457657.htm (19 May 2010).
[85] CNOOC, 'CNOOC limited to withdraw Unocal bid', Press Release: 2 August 2005, available at http://www.cnoocltd.com/encnoocltd/newszx/news/2005/961.shtml (19 May 2010).
[86] US Energy Policy Act 2005, Section 1837. Available at http://www.pi.energy.gov/documents/EPACT1837FINAL.pdf (19 May 2010), 56.

an issue of increasing strategic importance in Sino-US relations[87]. The word used for strategic [*zhongde zhanlue*] has military associations, suggesting it is becoming an issue of strategic importance in a military sense. Referring to Unocal, it highlights the United States' lack of understanding of China, emphasising the 'geopolitical thinking' of US politicians, in particular Congress[88]. Moreover, Unocal had a longer-term impact on the Chinese investment structure, essentially diminishing Chinese investment in the US energy sector for several years - investments only really took off again in 2011-12[89].

US discourse constructed China as a threat and through gradual processes of securitisation and repeated security speech acts by a range of elite actors CNOOC's bid for Unocal was constructed as a critical issue of 'national security'. As a result, CNOOC withdrew the bid, US legislators amended the Energy Policy Act 2005, and cooperation between the two states was on this issue made effectively impossible. Securitisation of the Unocal affair had clear policy consequences, and discouraged cooperation.

Conventional energy literature understands this case study in simple realist, competition terms as the liberal cooperation literature cannot explain it. It presents both states as acting 'naturally' in their own self-interest (to ensure their survival)[90] but fails to explain why energy, often dealt with domestically in policy terms or internationally as a trade matter, in this case was considered a threat to national security requiring state intervention. A securitisation approach can show how a commercial acquisition bid moved from a non-politicised market-based issue to an (inter)national security crisis between two superpowers. It allows an analysis of how the threat was constructed and the negative impacts on cooperation, explaining the representation of energy as a policy issue and allowing an analysis of *how* particular discourse makes particular energy policies possible. Energy security is not inherently geopolitical but inherently constructed, and only by highlighting this constructedness and analysing the process by which threats to energy 'security' come to be understood as threats can we effectively move beyond the 'energy security' discourse. The conventional literature fails to acknowledge this. Viewing energy in this very specific national security-framework can constrain the responses available and rendered legitimate. Ultimately, energy high-politics can and should be desecuritised.

Towards desecuritisation of energy

Finally, what prospect might there be for successful reversal of the securitisation of energy in the US-China relationship? This section will not attempt to answer this difficult question comprehensively – that would merit an article in itself – but it will seek to begin the answering of it, challenging the soundness of opposed arguments focused primarily on a realist critique, by means of brief references to the counterexamples of US-China cooperation on clean energy and on shale gas.

The key critique of the argument put forward here is the realist one. Realist logic would suggest that the Unocal affair demonstrates the natural reaction of one self-interested state to another in an anarchic international system with depleting natural resources. This account

[87] China National Energy Bureau, '中美能源合作：挑战与机遇并存' [China-US Energy Cooperation: Challenges and Opportunities] published December 2005 available at http://nyj.ndrc.gov.cn/dcyyj/t20051229_55139.htm (19 May 2010).
[88] Ibid.
[89] Adam Lysenko (Rhodium Group) speaking at Woodrow Wilson Center on 'Chinese investment in North American energy', May 31 (2012).
[90] For example, Schortegen, 'Protectionist capitalists vs. capitalist communists, 4.

would explain American securitisation of the issue as a natural, inevitable consequence of their strategic self-interest – rendering it permissible to step outside free trade rules to retain national energy resources – and China's attempts to reframe the issue as similarly so – using the language best suited to allowing the deal to go ahead to ensure their own continued energy supply. If the continuing securitisation of energy is simply an epiphenomenon of inevitable power politics and the need to ensure survival, desecuritisation of energy is unlikely to be possible, and cooperation over energy clearly unlikely.

The Unocal case serves to demonstrate what can happen when discourse is securitised - cooperation was discouraged, bilateral relations damaged and respective directions of the countries' policies affected. Securitisation had a clear impact on policy choices. Yet the choices which resulted from securitisation were not the only ones possible, and in a differently constructed discursive context, different policy might have been eminently possible. To illustrate the possibility of dealing with energy supply issues outside of the security realm, we can examine relevant cases of Sino-American energy cooperation, which show that competition is *not* an inevitable or natural response; securitisation or politicisation (here taken as synonymous with desecuritisation – keeping issues in the realm of normal politics) does have a policy impact. In this case where discourse was not securitised, cooperation was possible.

China and the US in fact cooperate on a range of energy issues, from climate change to energy security, with a US-China Energy Policy dialogue established in 2004[91]. The US-China Clean Energy Research Center (CERC) has been a key development in bilateral cooperation, facilitating 'joint research and development on clean energy technology by teams of scientists and engineers from the United States and China'[92]. However, those issues generally focused on under the umbrella of this bilateral cooperation are what realists would consider 'low politics', focusing primarily on clean energy initiatives. It could thus be argued that cooperation is possible on less important energy issues, which are not a matter of priority in terms of state survival, while more important issues of 'high politics' cannot. A better example for study may therefore be US-China cooperation on shale gas, an area at the top of 'high' 'security' politics because of its potential to ease energy supply problems in both states. It is an area where realists would consider competition over technological and physical resources natural, because of the advantage either state could gain internationally from developing successful and effective fracking technologies – shale gas, like oil, is a finite resource that can be both used to secure one's own states energy supplies, and/or traded internationally for economic gain.

The US and China have begun increasing cooperation on shale gas both on a business-to-business level and on a government-to-government level. In 2009 they launched a joint Shale Gas Resource Initiative, aiming to 'provide economic opportunities for both the U.S. and China, while improving energy security for both countries and combating climate change'[93]. Meanwhile, further evidence of the role of shale gas as a 'high politics' issue can be seen in its inclusion in the strategic track of the bilateral US-China Strategic and Economic Dialogue

[91] US Treasury Department, 'Joint US-China Fact Sheet: US-China Ten Year Energy and Environment Cooperation Framework': (2008) available at http://www.pi.energy.gov/documents/10YearFramework.pdf (20 May 2010).
[92] CERC, 'Welcome' (2012) available at http://www.us-china-cerc.org/ (July 26 2012).
[93] US Department of Energy, 'Fact Sheet on Shale Gas Resource Initiative' (2009) available at http://www.doe.gov/sites/prod/files/edg/news/documents/US-China_Fact_Sheet_Shale_Gas.pdf (July 26 2012).

in 2012, where the need to 'strengthen future cooperation concerning shale gas development and regulatory and environmental frameworks' was noted[94].

On the industry level, both CNOOC and Sinopec (another Chinese energy company) have made large investments in US shale in the last few years[95], and likewise American companies, including Shell and Exxon-mobil, have been working with Chinese companies to develop shale resources in China. Meanwhile, Chinese investment in US shale gas companies has seen none of the securitising rhetoric of the Unocal affair, even giving rise to an article in the Wall Street Journal noting that

> '…it's incredible that Congress has evinced virtually no interest in Chinese investment in U.S. shale. To anyone who followed the noisily unsuccessful 2005 takeover of Unocal by Cnooc, this is incomprehensible'[96]

The article notes Unocal's relative lack of importance to US security compared with shale, and follows on to state that despite increasing Chinese investments in US shale 'there have been no debates, no resolutions and no angry rhetoric'[97].

In contrast to Unocal affair, when it comes to shale bilateral energy relations are discussed not in national security terms, but largely in economic, technological and environmental terms. Indeed there is a particular focus on the environmental impacts of fracking and how the two countries can jointly regulate this to minimise damage. Indeed, the shale gas initiative is said to aim 'to increase bilateral collaboration on regulations and technology development of shale gas reserves while also protecting the environment and communities around such exploration in both countries'[98]. The discourse surrounding cooperation on shale gas stands in stark contrast to the discourse of the Unocal affair. Rather than national security, the focus is on mutual interests and opportunities for collaboration, with particular care taken when it comes to dealing with environmental impacts on a local and international level, both in terms of fracking, and impacts on climate change.

Clearly this example requires deeper research and lengthier discussion than is possible here in order to establish the dynamics at work in enabling the functioning of cooperation on shale gas. Nevertheless, shale gas cooperation between China and the US represents prima facie evidence that close cooperation is possible even on an area of energy policy with implications for core questions of national survival. It also shows that even 'high politics' energy issues can be politicised, and framed in economic and environmental terms. As such, securitisation of energy is not a necessity, nor 'natural' or 'inevitable'. While this case can be seen as an example of the conventional 'cooperation' approach to energy, the existing literature cannot explain why the responses to the Unocal affair and Chinese shale investment were different, why one case necessarily led to a strategic, realist response and the other allowed a cooperative, integrative response.

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[94] US State Department, 'Joint Statement on Outcomes' (2012) available at http://www.state.gov/r/pa/prs/ps/2012/05/189287.htm (July 26 2012).

[95] CNOOC has invested in several of Chesapeake Energy's shale developments in Wyoming, Colorado and Texas, and Sinopec has invested in Devon Energy.

[96] Alisa Hood, 'American Heads', *Wall Street Journal* Jan 5 2012 available at http://online.wsj.com/article/SB10001424052970203471004577140274055422942.html (July 26 2012).

[97] Ibid.

[98] Liu and Turner, 'Shale we dance?' *China Environment Forum* available at http://www.wilsoncenter.org/publication/shale-we-dance-exploring-new-area-us-china-energy-collaboration (3 February 2014).

While this article illustrates that in the case of the Unocal affair, successful securitisation of energy enabled different policy choices than a desecuritised approach, it is difficult to determine why securitisation occurred in the Unocal case, but not with shale gas. The Copenhagen School would argue that securitisation is always a 'political choice'[99] - and a number of external, contextual factors are likely to have impacted on this choice which makes it difficult to speculate. One key factor may be the timing of the Unocal affair – as noted earlier it occurred during a period of particularly high tension in US-China relations. Meanwhile, there are some differences between oil and shale, with less evidence of 'peak shale', and more open market trade on oil, which may lead to shale deals being considered less dangerous. It could also be argued that US assistance in developing Chinese shale supplies desecuritises energy politics by increasing the amount of energy available[100]. Likewise, as mentioned previously there are competing discourses in the US advancing different perspectives on energy security, and a number of contextual factors may have been at work to make liberal/market discourses more likely in the shale case. However, it is vital to note that realist/strategic voices remain very active in Congress, as can be seen in the recent CNOOC-Nexen case[101]. Ultimately, much more research is needed to fully determine why securitisation of energy is successful in some cases but not others.

Problematically, there is a lack of research on desecuritisation in practice. However, this short discussion shows that energy does not have to be dealt with in securitised terms[102]. Moreover, doing so has a negative effect both on security in traditional, state-centric terms by making zero-sum outcomes more likely, and in non-traditional security terms because of the impact of securitised energy policy on individuals and the environment. Desecuritising energy would open up more policy options, avoid zero-sum outcomes and make transnational cooperation on energy issues more likely. This may in turn make possible policies that have a less negative impact on individuals and the environment, as can be seen in the case of shale gas cooperation. It is, however, likely to be difficult and much more research is needed on this.

Conclusion

Energy is becoming increasingly important in US-China relations and is often identified as a potential area of conflict, and thus the construction of energy as a security issue has particularly important implications for US-China relations. This paper has presented a case study showing the effects of securitisation on energy policy, but it is only one case and much more research is needed. While it cannot be used to generalise, it clearly illustrates some limits of the traditional energy 'security' literature, showing potential and scope for further research. Another crucial area for future research is desecuritisation in practice.

This paper has attempted to highlight an ontological and normative critique of the current energy 'security' literature. To tackle these limits it has advocated using a securitisation approach to energy policy to emphasise the problems inherent in securitising energy, which has been ignored by the dominant approaches. The Unocal affair has been used to illustrate

[99] Buzan et al, *Security*, 29.
[100] I owe this point to one of the anonymous reviewers.
[101] Ronald Orol, 'CNOOC-Nexen U.S. opposition became bipartisan' (*Marketwatch 2012*), available at http://articles.marketwatch.com/2012-08-06/economy/33061155_1_cfius-unocal-corp-national-security (8 May 2013).
[102] If anything, Ciuta's conceptual analysis of different logics of energy security emphasises the variety of meanings of energy security, the lack of a stable meaning suggests it may be easier to desecuritise energy than some other issues – see Ciuta, Conceptual notes on energy security.

this in practice, showing the policy implications of securitising energy, the role of states in constructing threats, and the implications of dealing with energy in the security realm. The cases of US-China cooperation on clean energy and shale gas were used to show the possibility of dealing with energy in economic and/or environmental terms, moving it out of the security realm. While not discussed in detail, desecuritisation of energy has been advocated as a path to future energy cooperation.

The current energy 'security' dynamic focuses on state security. While this is not problematic in itself, in practice it works to drive up competition for energy resources and has a negative impact on both the environment and human security. It leads to fluctuating and rising oil prices, affecting economic stability in an already fragile global economy. Securitisation theory can explain the representation of energy as a policy issue to allow an analysis of *how* particular policy is made possible through the use of particular discourse, while silencing alternative policy options. This is largely neglected in the current literature on energy security, which does not recognise the implications of the very particular securitised discourse it uses to represent energy which in practice works to limit the range of policy options and make zero-sum outcomes more likely. It also provides an alternative to the current security-focused discourse. This has clear implications for energy policy-making. Ultimately, energy would undoubtedly benefit from being moved out of the 'high politics' state-centric security realm, to move beyond the current discourse and allow for the emergence of a new, less narrow, energy policy/practice.